IBRD



IBRD and its Development Project Financing Activities in Vietnam

Group 6

Đặng Việt Hoàng - 11232291
Trần Lan Quyên - 11232506
Đào Bảo Bình - 11230612
Nguyễn Anh Đức - 11232399
Lê Thị Yến Nhi - 11233123

Class: Investment Economics 65

Lecturer: ThS. Phạm Thu Vân

Hanoi, 2026

Vietnam's shift from IDA to IBRD

2007

The Bank declares Vietnam IBRD-eligible

December 2009

First IBRD loan: US$500 million Public Investment Reform loan [1; 2]

July 2017

Graduates from IDA; no more regular IDA credits

From 2018

IBRD and non-concessional IDA terms; IDA18 transitional support (FY18–20) [3]

July 2026

Reclassified as an upper-middle-income economy [4]

Research problem and four questions

IBRD loans come with different terms and procedures from the concessional credits Vietnam was used to.

Q1

What is the IBRD, and how was it formed and developed?

Q2

How is the IBRD organized and funded, and on what terms does it lend?

Q3

How does the IBRD support project financing through financial, technical and training assistance?

Q4

What results and limitations have selected IBRD-supported projects in Vietnam shown, and what lessons follow?

Method: qualitative, mainly secondary data · Scope: Vietnam, 2014 to the present · Cases: TEP and CCSEP

Preview: the binding constraints lie mainly on the domestic side, not in the availability of IBRD money.

I



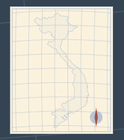
Overview of the IBRD

Definition, history, organization, instruments and loan conditions

In this part

1.1.1 1.1.2 1.2

How the IBRD differs



IBRD

- **Oldest and largest:** founded in 1944; the largest development bank in the world
- **Pricing:** market-based interest rates
- **Clients:** governments, or entities guaranteed by governments

IDA · IFC · MIGA · ICSID

- **IDA:** much cheaper terms, funded by donors, for the poorest countries
- **IFC:** invests in private companies without a government guarantee
- **MIGA and ICSID:** no direct finance; reduce investor risk, settle disputes

The IBRD is the main channel for public financing to middle-income countries, which is why it matters for Vietnam today.

Where the money comes from



1

Member capital

Small paid-in share; callable capital never called; capital increase in 2018 [12]

2

Bond issuance

Largest source; AAA rating for decades; sustainable and green bonds [13]

3

The IBRD

Financial intermediary between global markets and member countries

4

Loans

Long maturities, reasonable costs; repayments recycled into new loans

- **Versus IDA:** IDA depends on regular donations; the IBRD funds itself through the market
- **New tools:** hybrid capital and guarantees from shareholders



Three lending instruments

A single loan product, the IBRD Flexible Loan, sets price and repayment terms.

- **IPF:** ring-fenced works, equipment, consulting; disbursed as eligible expenditures are incurred [14]
- **DPF:** policy reforms; prior actions before approval; funds to the general budget [14]
- **PforR:** introduced 2012, third instrument since 1944 [15]; disbursed on verified DLIs [14]

IPF

DPF

PforR

Loan terms: long maturities

35 years

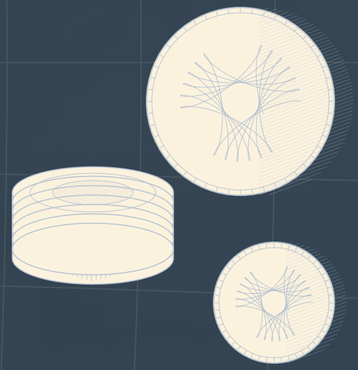
maximum final maturity since 2014, up from 30 [18]

50 years

final maturity for some projects [19]

7 years

Short Maturity Loan, October 2024 [20]



- **Average maturity:** maximum raised from 18 to 20 years in 2014 [18]
- **Short Maturity Loan:** 20-basis-point discount on the spread [20]
- **TEP:** 26-year maturity with a 10-year grace period [21]
- **CCSEP:** IBRD loan 29 years, 10-year grace; IDA credit 25 years, 5-year grace

II



How the IBRD supports project financing

Financial support, technical support, training and capacity building

In this part

2.1.1 2.1.2 2.1.3 2.2 2.2.2 2.2.3 2.3 2.3.2



The six-stage project cycle

The borrower owns and implements the project; the Bank advises, appraises, finances and supervises [25].

1. **Identification**
   Project concept consistent with the Country Partnership Framework
2. **Preparation**
   Feasibility, design, E&S instruments, procurement plan
3. **Appraisal**
   Bank review; Project Appraisal Document (PAD)
4. **Negotiation and Board approval**
   Loan Agreement signed and declared effective
5. **Implementation and supervision**
   Bank supervises; ISRs; may restructure
6. **Completion and evaluation**
   ICR, then independent validation by IEG

Counterpart funding as the binding constraint

- **Documentation:** statements of expenditure or interim financial reports; deadline usually four months after closing [26]
- **Counterpart role:** in CCSEP it paid land, resettlement, staff salaries, operating costs, training
- **TEP:** NPT provided US$231.25 million of the planned US$731.25 million [21]
- **Idle money:** CCSEP provincial allocations began July 2019; no disbursement in 2017 and 2018
- **Real debt:** where loans are on-lent, provinces take on real debt obligations



TEP and CCSEP are introduced in Chapter 3.

Reform depends on the borrower

5.50
US$ million from NPT

5.74
US$ million: TEP capacity-building actual cost

0.24
US$ million from the IBRD



- **National level:** the PIR series strengthened selection and implementation of public investment [2]
- **CCSEP:** all of Component 4 financed by counterpart funds; many reforms stopped at setup
- **Lesson:** the IBRD can design and advise; the borrower must fund and sustain reform

TEP and CCSEP are introduced in Chapter 3.

How the three forms reinforce one another



Money gives weight to advice

Standards are adopted when they are conditions of a loan

Advice protects the money

Appraisal and supervision reduce the risk of wasted funds

Training protects the results

Assets keep working only if local institutions run them

Binding constraints usually lie on the domestic side: counterpart funding, land acquisition and PMU capacity.

III



The IBRD and selected projects in Vietnam

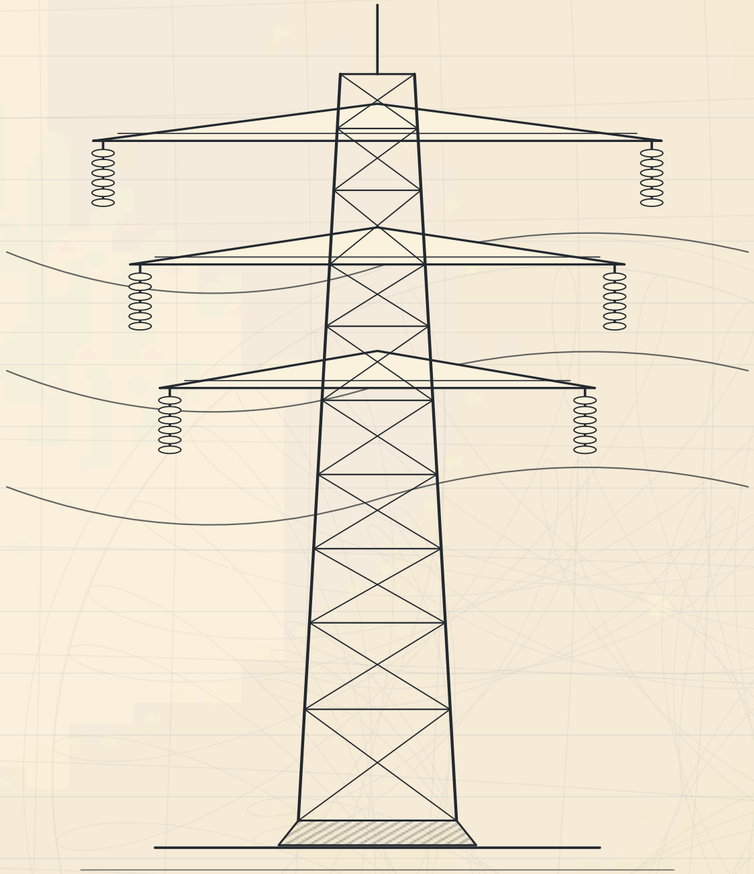
Context, TEP (energy) and CCSEP (urban and environment)

In this part

3.1.1 3.1 3.1.3 3.1.4

TEP: project overview

- **Dates:** approved 7 August 2014; effective 10 February 2015 [44; 41; 37]
- **Closing:** 31 December 2019, extended to 31 December 2021
- **Objective:** capacity, efficiency and reliability of transmission; financed through IPF
- **Agencies:** NPT (an EVN subsidiary) through three regional project management boards [44; 37]
- **Network:** 220-kV and 500-kV lines and substations in three regions [44; 37]



The planned financing envelope

731.25

USD million total cost at appraisal [44; 41]

500.00

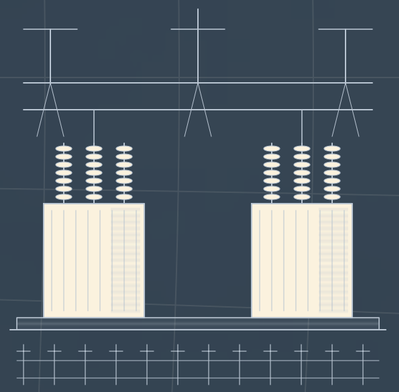
USD million IBRD loan

231.25

USD million borrower resources

1.25

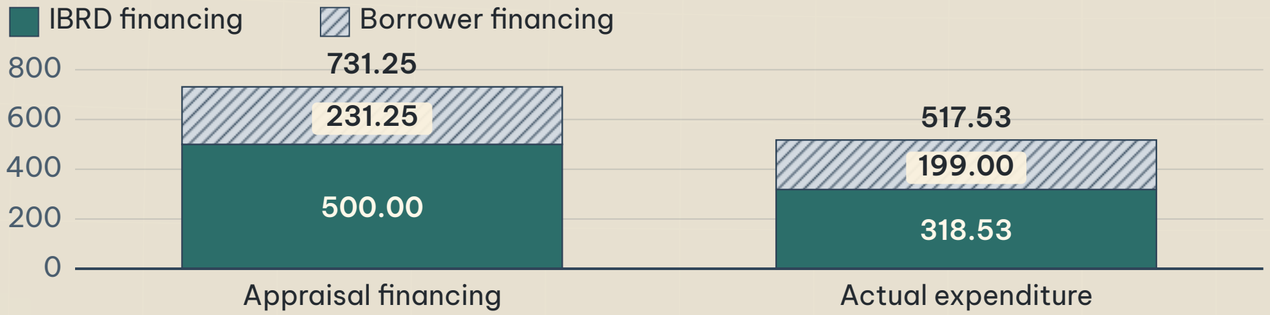
USD million front-end fee



- **A plan:** these amounts are the planned envelope, not money drawn or spent
- **Fee included:** investment components alone do not equal the complete total [44; 41]

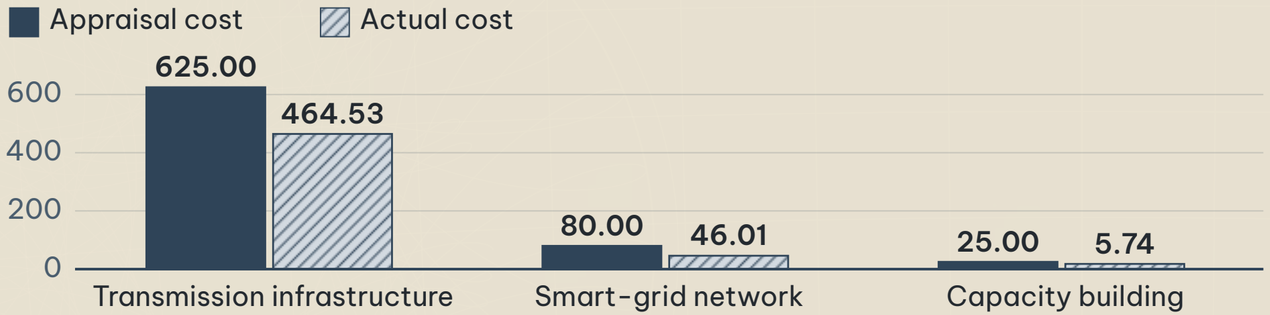
Appraisal vs closing, in two pictures

Figure 1. TEP financing structure: committed/appraised resources versus actual closing expenditure (million USD)



Source: Chart prepared by the authors using data from World Bank (2022a, Annex 3, Table 3.2). Actual expenditure is not equivalent to contractual loan availability.

Figure 2. TEP expenditure by investment component at appraisal and at closing (million USD)

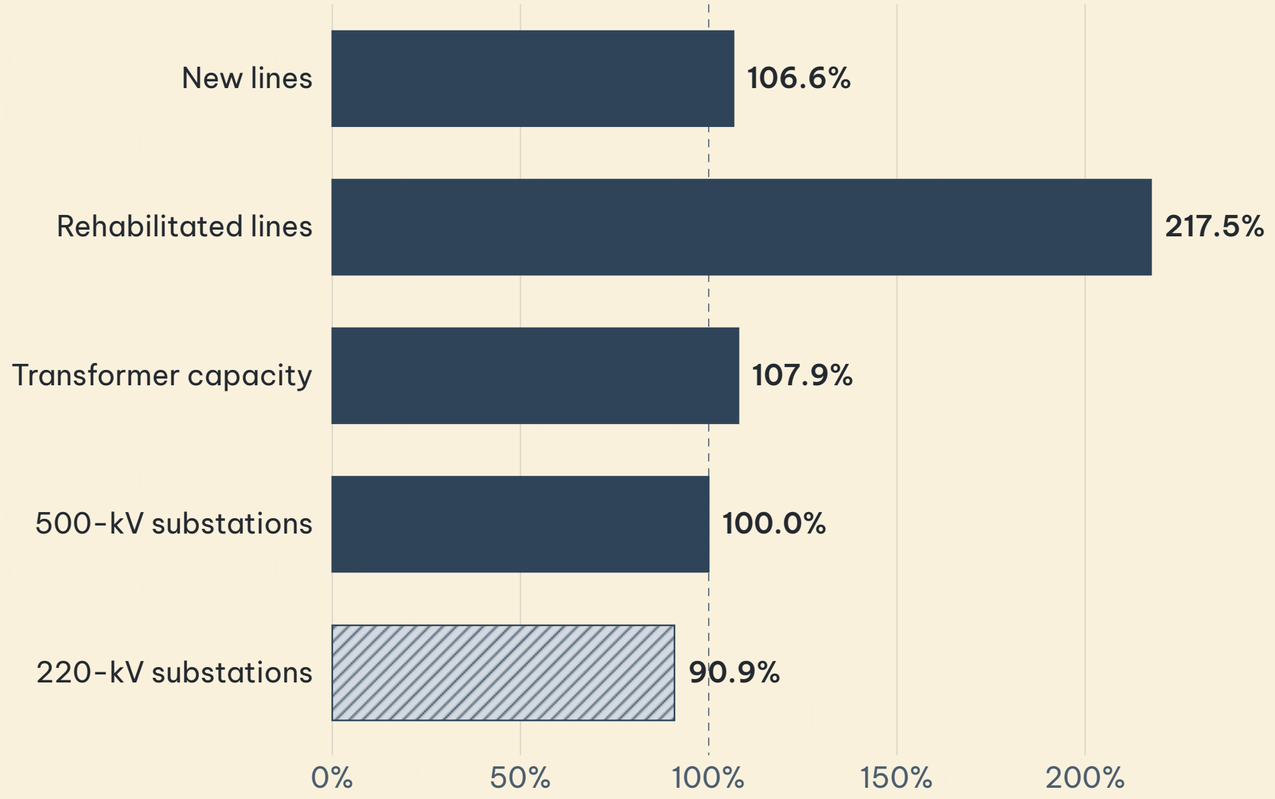


Source: Chart prepared by the authors using data from World Bank (2022a, Annex 3, Table 3.1). The USD 1.25 million front-end fee is excluded from the three component bars but included in total project costs.

- **IBRD at closing:** USD 289.03 million transmission, USD 28.01 million smart grid [41]
- **Capacity building:** USD 5.50 of 5.74 million from the borrower, USD 0.24 million IBRD [41]

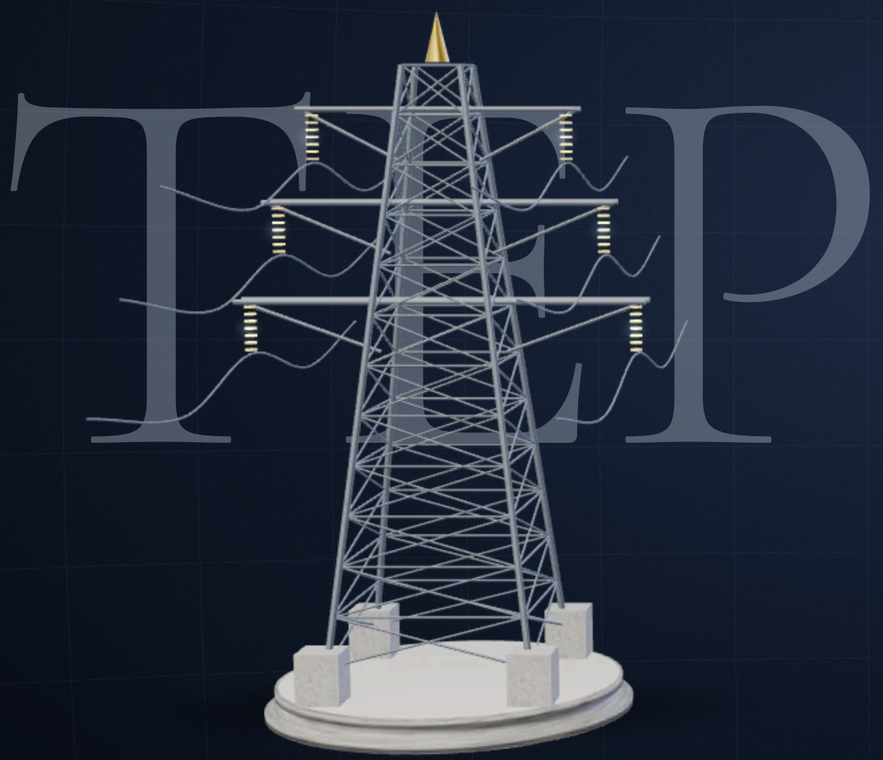
Output achievement (%)

FIGURE 3. TEP OUTPUT ACHIEVEMENT RELATIVE TO ORIGINAL RESULTS TARGETS (%)



Source: Chart calculated by the authors from World Bank (2023, p. 8). A value of 100% means that the original output target was met, not that all project-wide economic benefits were realised.

- **Above target:** new lines, rehabilitated lines and transformer capacity
- **Smart grid:** five 500-kV substations; 10 of 11 targeted 220-kV upgrades
- **Ninh Binh:** upgrade cancelled; substation scheduled for dismantling



Commitment vs disbursement

500.00	318.53	181.47
USD million committed	disbursed · 63.7%	difference · 36.3%

- **Project cost:** USD 517.53 million, USD 213.72 million below appraisal [41, Annex 3; 37, p. v]
- **Counterpart:** USD 231.25 million planned, approximately USD 199.00 million final
- **Not a failure:** lower steel prices, competition, fewer activities [37, pp. x, 17]
- **Different concept:** ~USD 160 million cancelled is not the USD 181.47 million gap

TEP: overall assessment



Strengths

- **Outputs:** strongest demonstrable achievements in physical outputs
- **Operations:** improved operating indicators
- **Cost:** useful reduction in capital costs relative to the appraisal budget

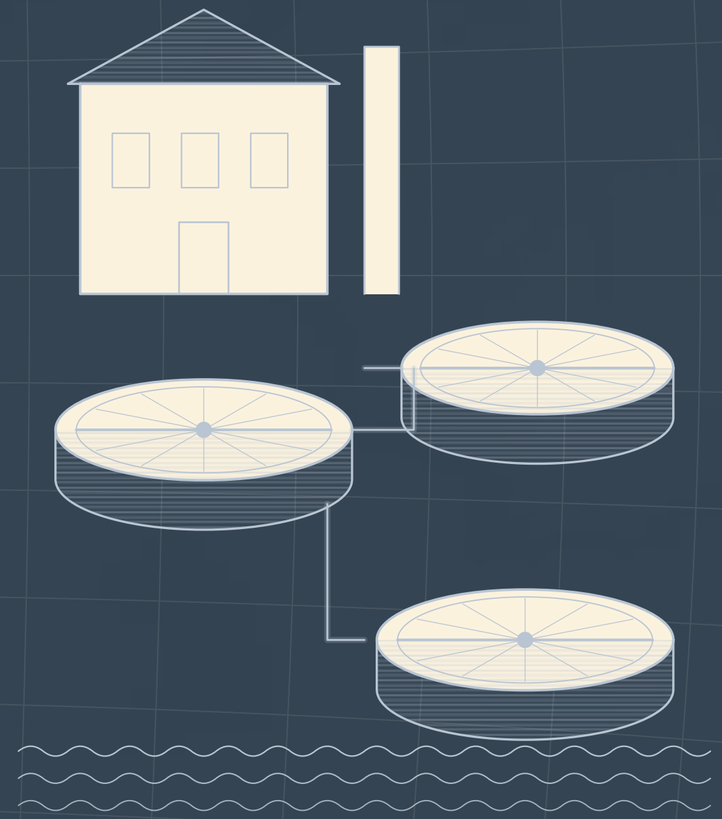


Weaknesses

- **Preparation:** lengthy smart-grid preparation process
- **Money:** large gap between loan commitment and final disbursement
- **Constraints:** capacity building on the counterpart side; sector-wide network constraints

CCSEP: project overview

- **CCSEP (P156143):** appraised in April 2017 under IPF; approved 5 May 2017
- **Continuity:** follows CCESP (2007–2014) in Dong Hoi, Quy Nhon, Nha Trang; adds Phan Rang–Thap Cham
- **Dates:** signed 27 October 2017; effective 18 January 2018; loan closed 30 June 2024
- **Cost:** USD 273.6 million at appraisal [33; 43]
- **Implementation:** PMUs in Quang Binh, Binh Dinh, Khanh Hoa and Ninh Thuan





A blended financing package

273.6	46	190.2
USD million total	IBRD · 16.8%	IDA · 69.5%

- **IPF:** finances specific investment items, not policy reforms or results [33, Data Sheet]
- **Shares:** World Bank USD 236.2 million (86.3%); counterpart USD 37.4 million (13.7%) [33, Data Sheet, para. 43]
- **Blend:** IBRD USD 46 million with an IDA credit of USD 190.2 million [33, para. 66]
- **Why:** blend terms shortly before IDA graduation [33, paras. 1, 44]

Slow start, slow disbursement

18 January 2018

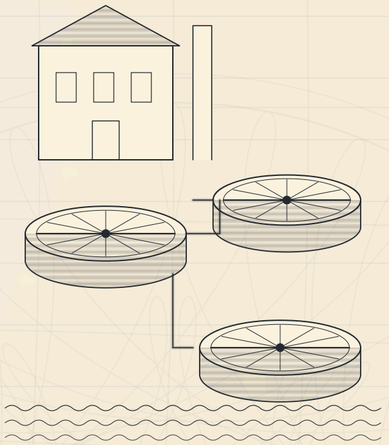
effective date, not 3 August 2017 [33; 55; 43]

USD 84.8 million

disbursed by late 2022, about 36% of original loan capital

45%

physical works, share of USD 160.9 million contracts [43]



- **Projection:** the PAD expected USD 212.3 million by the end of FY2022
- **Split:** IBRD USD 16.47 million and IDA USD 68.34 million
- **Root cause:** counterpart allocations only from July 2019; zero in 2017 and 2018

Resettlement: the main bottleneck

1,486

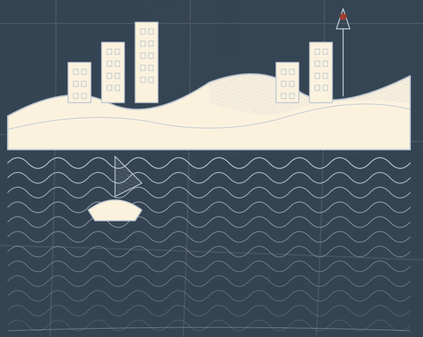
affected households in the PAD, 329 to relocate [33]

160 / 585

Nha Trang compensation plans approved

1,400 / 1,586

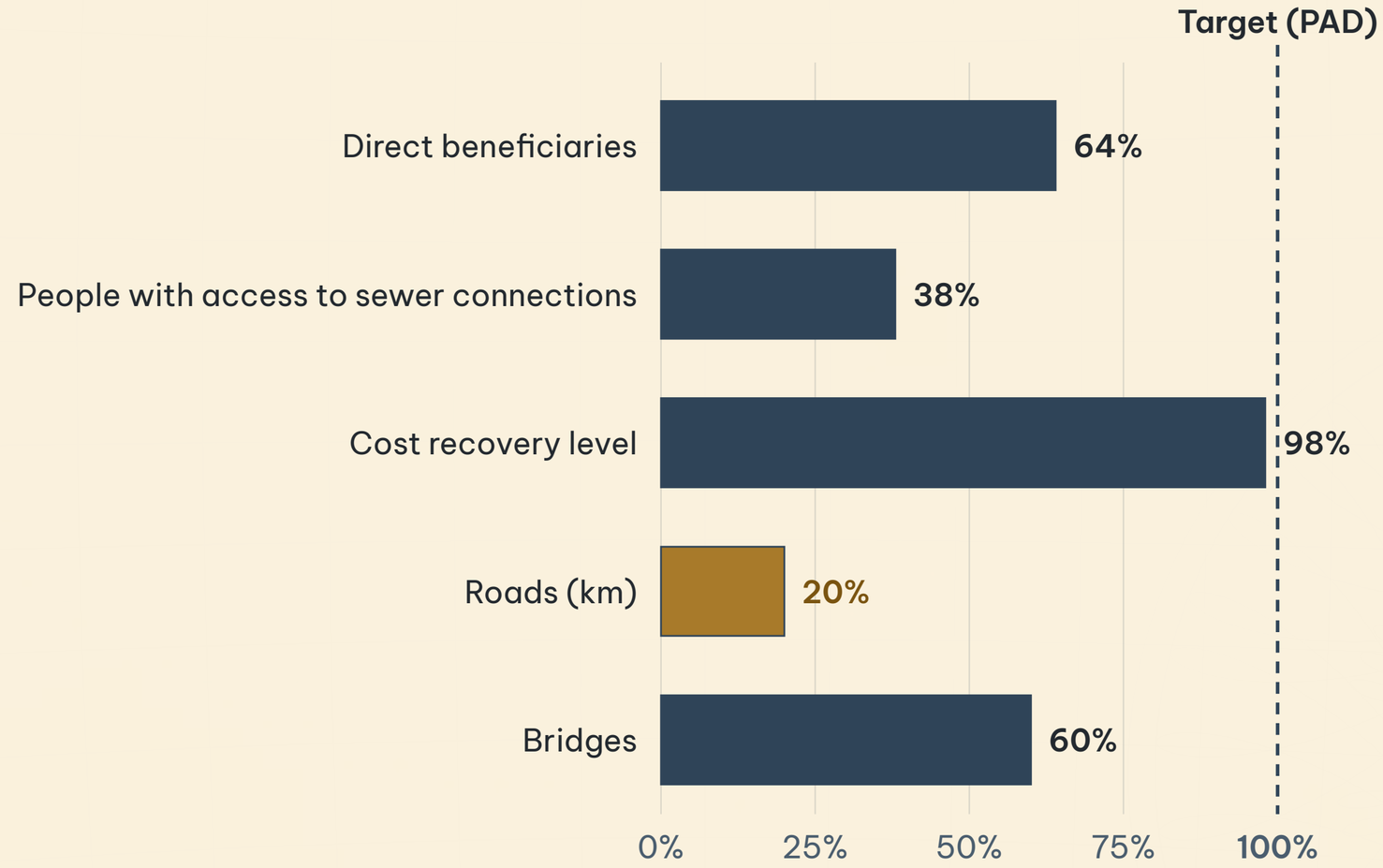
Phan Rang compensation plans approved [43]



- **Nha Trang:** a third of approved plans rejected; most Component 2 contracts halted
- **Cancelled:** `NT-2.1` partially, `NT-2.2` completely; affected households about 35% fewer
- **Elsewhere:** Dong Hoi and Quy Nhon largely completed resettlement [43]

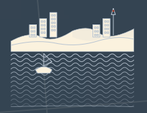
Key performance indicators at 31/10/2022

ACTUAL AS % OF PAD TARGET



Source: projects.worldbank.org

Three direct causes



“Resettlement was thus a precondition for the drainage infrastructure to operate, not an auxiliary component …”

Land prices

Disagreements over prices and compensation led one-third of approved plans to be rejected

Restrictions since 2016

Land-use restrictions without completed acquisition prolonged residents' waiting

Weak PMU capacity

Poor coordination with provincial authorities delayed compensation and contracts [43]

LESSONS



Recommendations (1/2)

As an upper-middle-income economy since 2026, future World Bank borrowing will rely on IBRD terms [4].

- **1 · Prepare projects fully:** settle technology, approvals, land before signing [37]; use a Project Preparation Advance
- **2 · Secure counterpart funding:** in the medium-term investment plan at approval; check provincial debt capacity
- **3 · Align compensation early:** meet ESS5 from preparation; independent valuation, early consultation

LESSONS



Recommendations (2/2)

- **4 · Stabilize PMUs:** professional units managing several projects; Open Learning Campus training
- **5 · Streamline procedures:** Decree No. 242/2025/ND-CP steps scheduled to match the Bank cycle [53]
- **6 · Choose instruments strategically:** PforR or DPF for measurable reforms; RAS for advice [36]

Three pillars, one package

AAA-rated market funding, lent on long maturities through IPF, DPF and PforR.

Finance

Pays for the investment through the project cycle and its disbursement methods

Technical support

Improves project design, policy and monitoring

Training and capacity building

Strengthens the people and institutions that carry out projects

What the two cases show

TEP

- **Results:** outputs above targets, operating costs fell, IEG rated it highly satisfactory
- **But:** a successful project may still disburse far less than its commitment

CCSEP

- **Constraints:** late counterpart funding, weak PMU capacity, resettlement disputes
- **Consequences:** results below targets, cancelled funds and a formal complaint

“

Across both cases, the binding constraints lay mainly on the domestic side rather than in the availability of IBRD money.

Conclusion of the paper



Significance and limitations

Significance

- **One framework:** organization, terms and support applied to two Vietnamese projects
- **Careful accounting:** planned vs actual; IBRD vs IDA and counterpart funds
- **Timely:** post-IDA borrowing and the 2026 reclassification

Limitations

- **Data:** secondary; no field surveys or interviews
- **Sources:** many prepared by the World Bank; IEG and Inspection Panel used where available
- **Scope:** no CCSEP completion report; two cases; system-wide indicators

THANK YOU



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